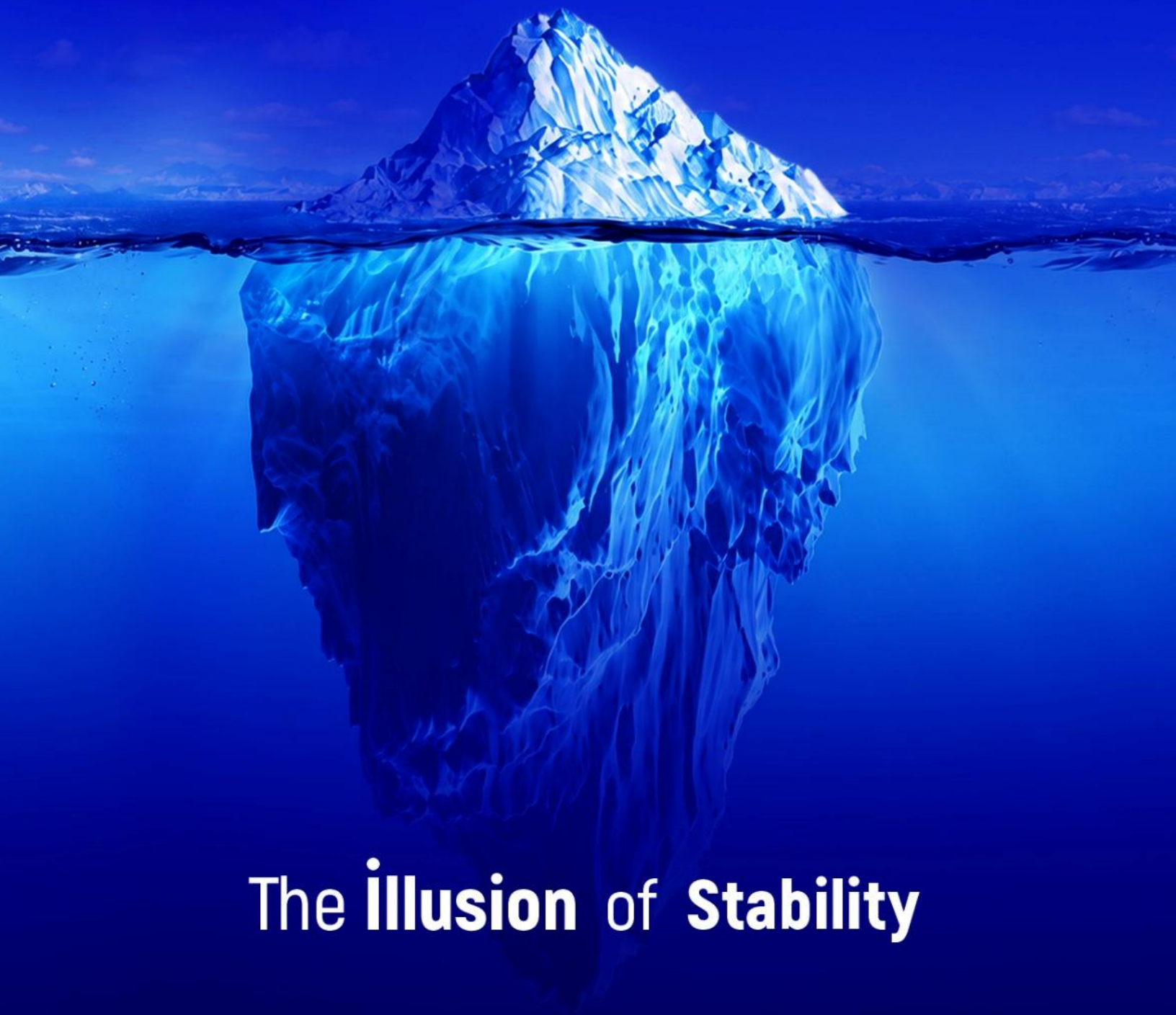
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Q2 Investment Outlook 2026



The Illusion of Stability

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List of Abbreviations

AFDB	African Development Bank
CBK	Central Bank of Kenya
CBR	Central Bank Rate
EFF	Extended Fund Facility
EMDE	Emerging Markets and Developing Economies
EU	European Union
FDI	Foreign Direct Investment
GDP	Gross Domestic Product
IMF	International Monetary Fund
KES	Kenya Shilling
KNBS	Kenya National Bureau of Statistics
KRA	Kenya Revenue Authority
LCU	Local Currency Units
MPC	Monetary Policy Committee
NSE	Nairobi Securities Exchange
PMI	Purchasing Managers Index
RSF	Resilience and Sustainability Fund
SDR	Special Drawing Rights
SSA	Sub-Saharan Africa
TTM	Trailing Twelve Months
USD	United States Dollar
VAT	Value Added Tax

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Global Macro Outlook

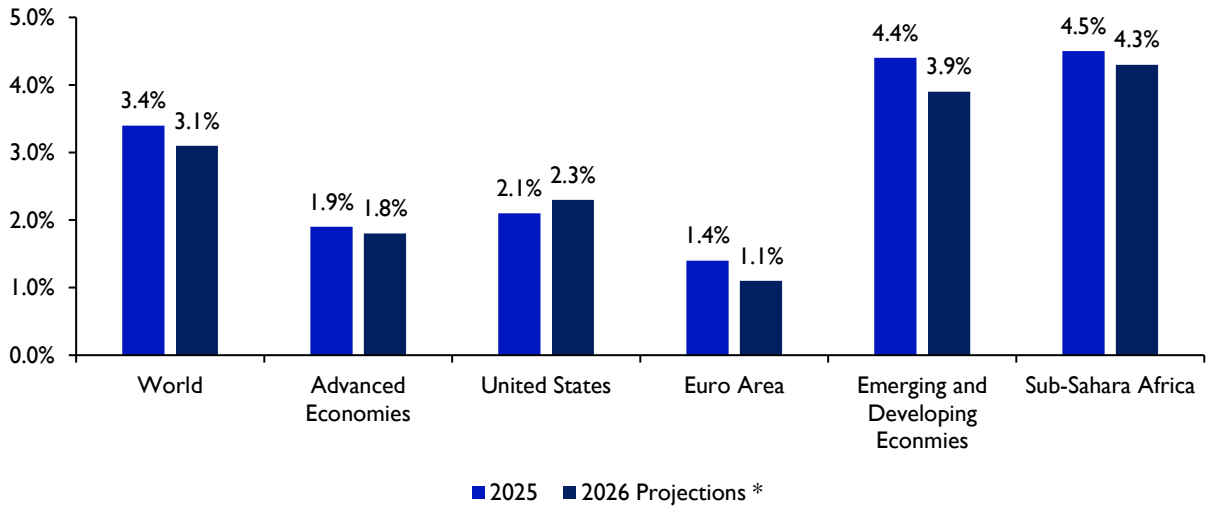
Growth: Disrupted recovery

In our yearly outlook, we highlighted that potential disruptions stood in the way of tempering growth, having learned lessons from tariff-related disruptions. In the third month of the year, this came vividly to light following the joint US-Israel attack on Iran, which suddenly put global growth to the test. Before the attack, there was optimism that the economy would continue in a recovery phase from 2025; however, this narrative has become clouded in the near term. AI was poised to be a dominant driver of growth, especially in developed markets, alongside an easing monetary environment. However, geopolitical factors have triggered an inflection point, particularly on the monetary policy path, following the knock-on effects of inflationary pressures.

The extent to which economic growth will be affected will depend on the duration and scale of the ongoing conflict in the Middle East. There has been significant destruction of energy facilities in the region, and even if a lasting solution is reached in the coming weeks or months, it may take time before navigation through the Strait of Hormuz resumes normal levels, which could keep energy prices elevated and feed into inflation. Key commodities and services such as chemicals, fertilizers, heating, transport, and food are likely to bear the brunt of the conflict since they are energy-intensive.

The International Monetary Fund (IMF) has revised down global economic growth projections due to the conflict *(Growth is expected to slow down to 3.1% from 3.4% in 2025).* In key markets such as the US and China, growth has remained resilient, although uneven amid underlying structural weaknesses. The US has grappled with a softer labour market, while China has continued to struggle with weak domestic demand in key sectors such as housing.

.Chart I: Regional Growth Projections



Source: IMF April 2026 World Economic Outlook, AIB-AXYS Research

Inflation: The Inflation Overhang

According to the IMF, global inflation is projected to climb to 4.4% in 2026 from 4.1% in 2025, before falling back to 3.7% in 2027. The upward revision is a result of higher food and energy prices that are expected to persist through 2026. In the US, inflation is only expected to fall back below the Fed's 2.0% target in 2027. Across the Atlantic, UK core inflation is expected to pick up in 2026. In 2025, the country introduced one-off changes in regulated prices, which pushed inflation. Inflation in the UK is expected to fall back to the Bank of England's target towards the tail end of 2027, when the effects of higher energy prices cool off. A weakening labour market is also expected to exert downward pressure on wage growth. In Japan, headline inflation is expected to moderate in 2026 and fall back to the Bank of Japan's target in 2027 as food and commodity prices ease. On the other hand, in the Euro Area, inflation is projected to rise above 2.0% in 2026 and remain above target through 2027.

Central Banks Reprice Inflation

Developments in the Middle East have triggered an inflection point for monetary policy among key central banks. In the US, two rate cuts had initially been priced in for the year; however, only one cut is now expected later in the year. The Bank of England, which had been expected to continue with rate cuts, is now widely expected to embark on rate hikes to contain inflationary pressures, similar to the European Central Bank. The Bank of Japan is also expected to continue with rate hikes to curb inflation. Emerging markets will continue to monitor inflation closely.

On the fiscal side, the IMF expects advanced economies to maintain a neutral stance and adopt tighter policy in the later years of the forecast horizon, amid widening fiscal deficits in key markets. The One Big Beautiful Bill is expected to worsen the US fiscal balance to GDP ratio by 0.7 percentage points to 7.5%; however, this will partly be offset by additional tariff revenues. In the Euro Area, the fiscal balance is expected to deteriorate. Notably, Germany's deficit is projected to widen to 3.8% owing to increased spending on defence and infrastructure. Fiscal policy in emerging market and developing economies is, on average, projected to gradually tighten over the forecast horizon. In China, the deficit is expected to widen by 0.3 percentage points in 2026 before beginning to narrow in the medium term.

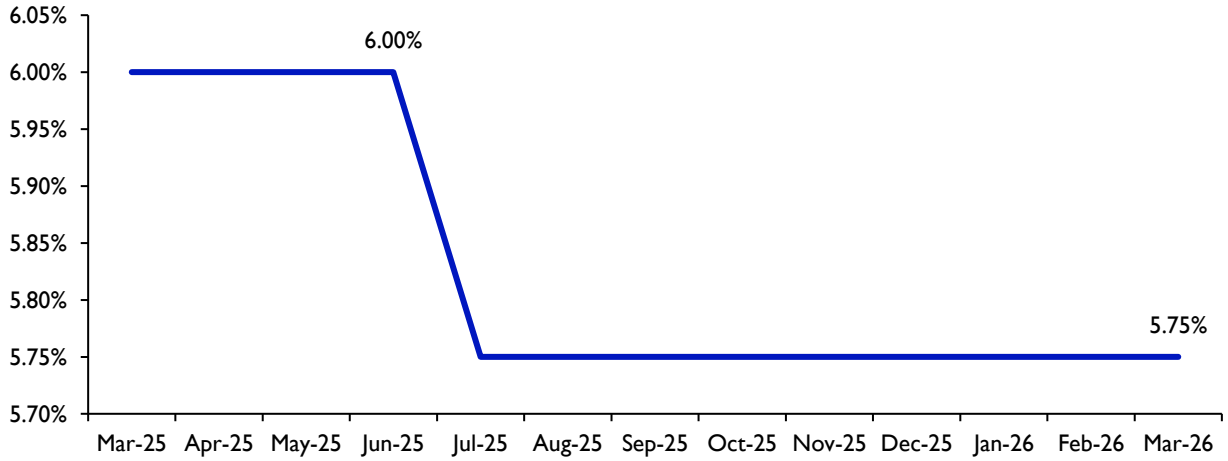
East Africa Outlook

Tanzania

Monetary Policy

The Bank of Tanzania held the CBR steady at 5.75% for all of Q1 2026, its second consecutive hold following a 25 bps cut in July 2025. In Q1 2025, the CBR was 6.00%, meaning Tanzania effectively eased 25 bps on a year-over-year basis. The BoT's MPC, chaired by Governor Emmanuel Tutuba, cited adequate banking sector liquidity (NPL ratio of 3.1%), robust private sector credit growth (20.3% in 2025), and inflation within target as reasons to maintain the accommodative but cautious stance. Tanzania's 5.75% CBR remains the most accommodative in East Africa, underpinning its positioning as a pro-growth, low-inflation market.

Chart 2: Tanzania: Central Bank Rate (CBR)

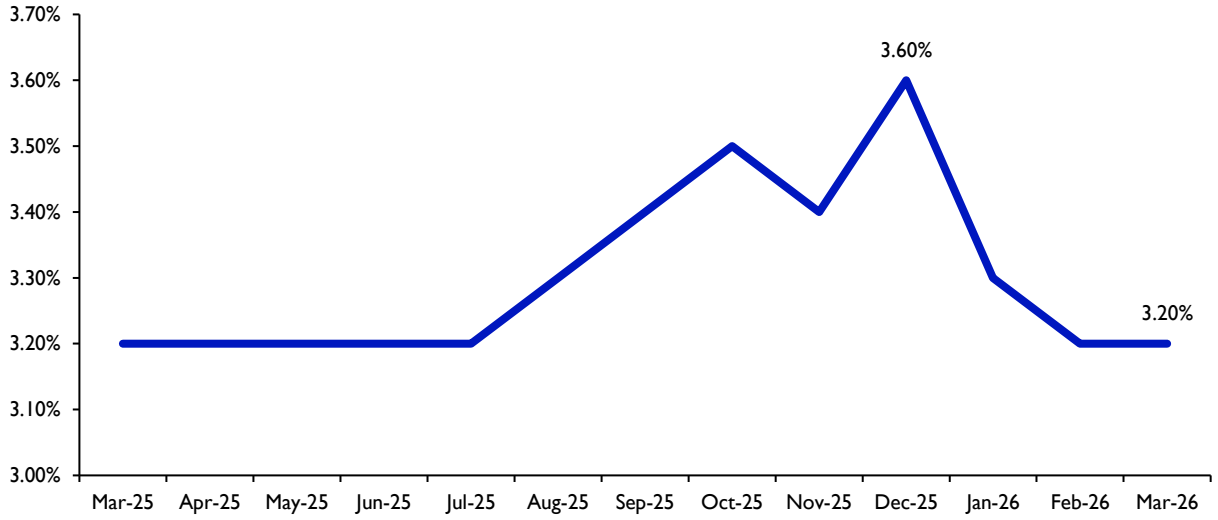


Source: Bank of Tanzania, AIB-AXYS Research

Inflation

Tanzania's inflation performance in Q1 2026 was best-in-class among EAC peers, averaging just 3.27%, comfortably within the 3.0–5.0% target band and near the lower end. January came in at 3.3%, easing to a multi-month low of 3.2% in both February and March. This compares to approximately 3.2% in Q1 2025, reflecting near-perfect price stability. Food and non-alcoholic beverages remained the primary pressure point at 5.7% in January, with moderate easing thereafter. Core inflation held near 2.0–2.2%, while energy/fuel inflation moderated sharply from its 2022–2023 highs. Tanzania's inflation trajectory in Q1 2026 represents the lowest and most stable reading in the region, outperforming Kenya, Rwanda, and Uganda.

Chart 3: Tanzania: Headline Inflation

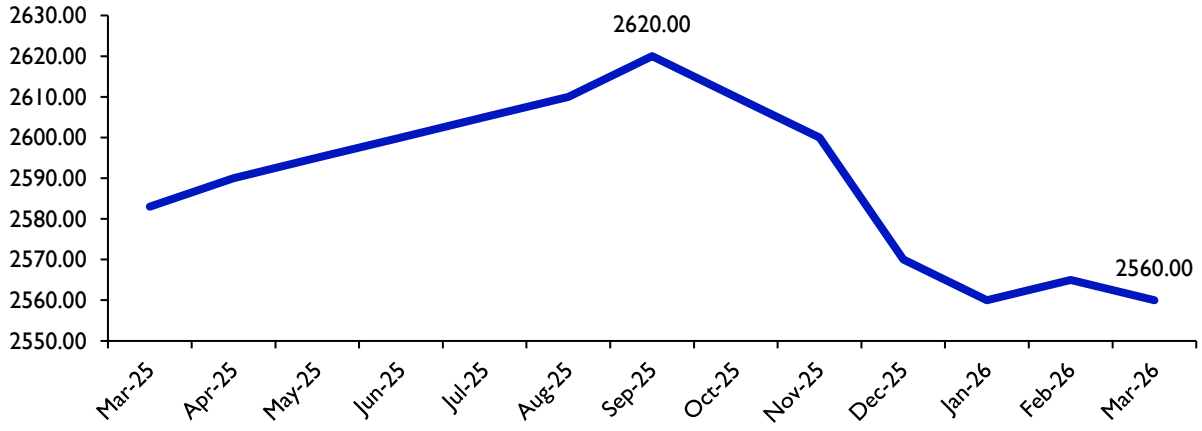


Source: National Bureau of Statistics (NBS) Tanzania, AIB-AXYS Research

Currency

The Tanzanian shilling demonstrated notable strength in Q1 2026, trading around 2,541–2,612 TZS/USD, with an average close to 2,580 TZS/USD. The TZS appreciated approximately 0.8% against the USD in Q4 2025, with stability maintained into Q1 2026. Year-on-year, the shilling was essentially flat (-0.12% versus year-ago levels). Foreign exchange reserves stood at USD 6.3 Bn, 4.9 months of import cover above the 4-month regional minimum. Strong export earnings (minerals, agriculture, tourism) and moderate oil import costs underpinned reserve adequacy. The current account deficit narrowed to a five-year low of 2.2% of GDP in 2025. GDP growth of 5.9% in 2025, with 6.0–6.1% projected for Q1 2026, makes Tanzania one of the region's most attractive investment destinations.

Chart 4: Tanzania: TZS/USD Exchange Rate

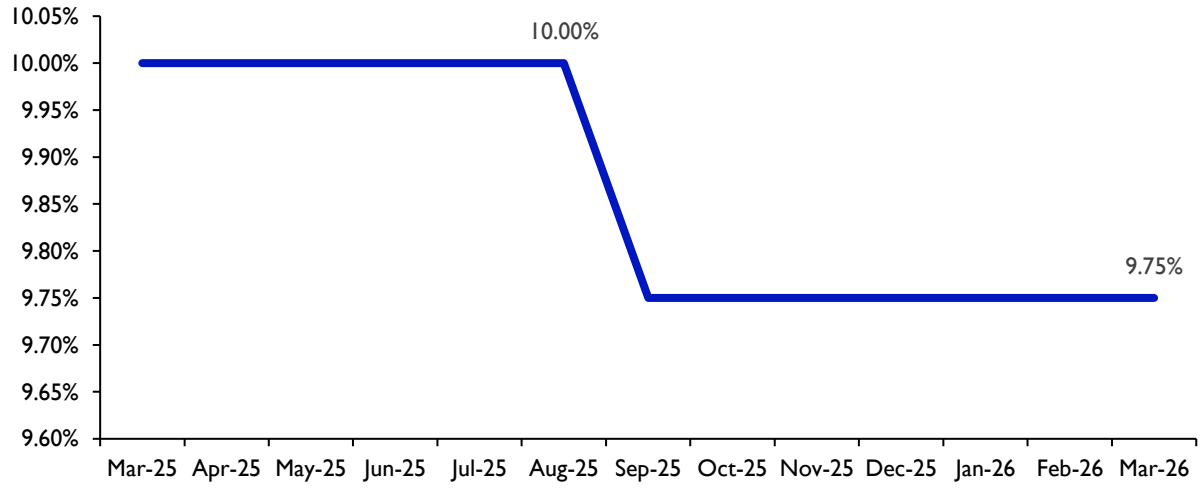


Source: Bank of Tanzania, Exchange Rate Statistics, AIB-AXYS Research

Uganda

The Bank of Uganda kept the CBR unchanged at 9.75% at its February 2026 MPC meeting, the sixth consecutive hold since the last cut in October 2024. This was also the CBR in Q1 2025 (9.75%), meaning Uganda maintained a flat year-on-year policy stance. Governor Michael Atingi-Ego cited "persistent global economic uncertainty" as warranting caution, while acknowledging that inflation remained comfortably below the 5% medium-term target. The rediscount rate stands at 12.75% and the bank rate at 13.75%. The BoU projected that as global uncertainties ease and domestic conditions remain supportive, there may be space for rate adjustments later in 2026. Growth is projected at 6.5–7% for FY2025/26, with medium-term momentum toward 8% as oil infrastructure spending accelerates.

Chart 5: Uganda: Central Bank Rate (CBR)

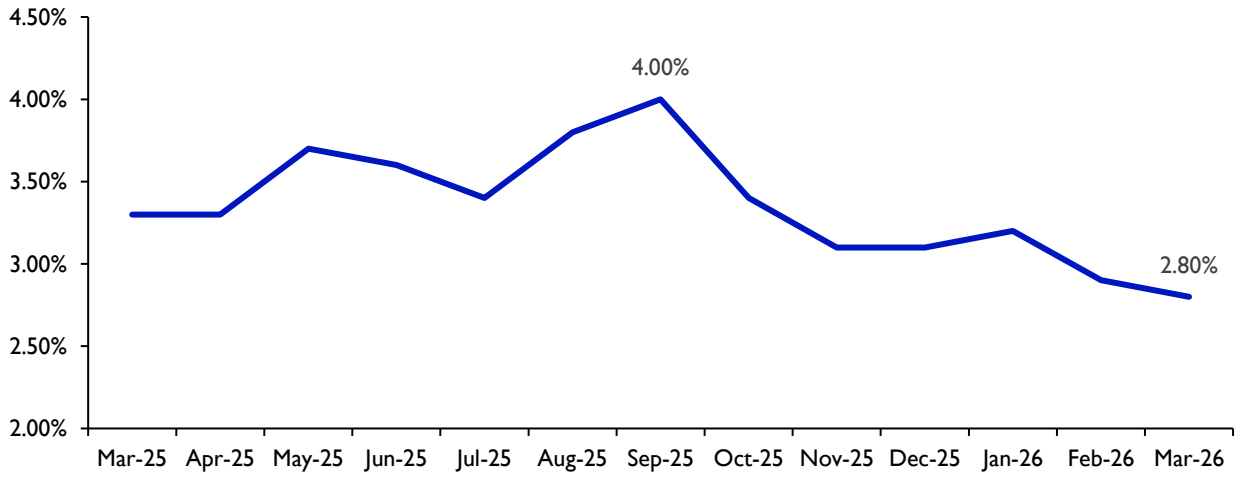


Source: Bank of Uganda, Monetary Policy Statement, AIB-AXYS Research

Inflation.

Uganda recorded the sharpest inflation improvement among EAC-4 peers in Q1 2026, with headline CPI declining progressively: January 3.2%, February 2.9%, March 2.8%. The Q1 2026 average of approximately 3.07% compares to roughly 3.5% in Q1 2025, an improvement of approximately 43 bps. Inflation was well below the 5.0% medium-term target throughout the quarter. Core inflation rose marginally to 3.3% in January (driven by passenger air transport services) before easing back. Food crop inflation moderated sharply to 3.0% in January from 4.4% in December 2025, supported by favourable rainfall and good agricultural seasons. Energy, Fuel and Utilities (EFU) inflation edged up to 1.7% from firewood price increases but remained low. The BoU projected headline inflation to stay within 3.8–4.3% for the full-year 2026, well inside the target.

Chart 6: Uganda: Headline Inflation

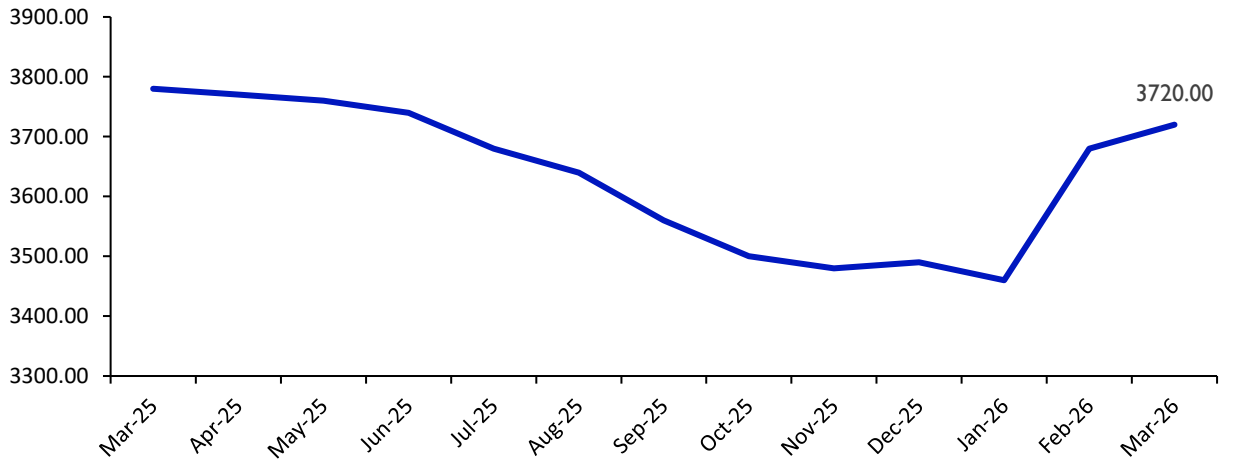


Source: Uganda Bureau of Statistics (UBOS), Consumer Price Index, AIB-AXYS Research

Currency

The Uganda shilling depreciated modestly against the USD in Q1 2026. It opened the year near 3,458 UGX/USD in late January (the strongest level of 2026), before weakening to approximately 3,780 UGX/USD by mid-March a notable intra-quarter swing tied to dollar strength and broader EM volatility. The six-month average was approximately 3,557 UGX/USD. On a year-over-year basis, the UGX was roughly 2.6% weaker. The BoU noted a modest exchange rate appreciation had helped revise the inflation outlook slightly downward. Foreign exchange reserves remained adequate. The high-CBR environment (9.75%) relative to peers provided some carry support for the shilling, though the weight of a structurally stronger dollar and global uncertainty imposed periodic depreciation pressure. Oil sector developments and public investment in infrastructure remain the key medium-term growth catalysts.

Chart 7: UGX/USD Exchange Rate



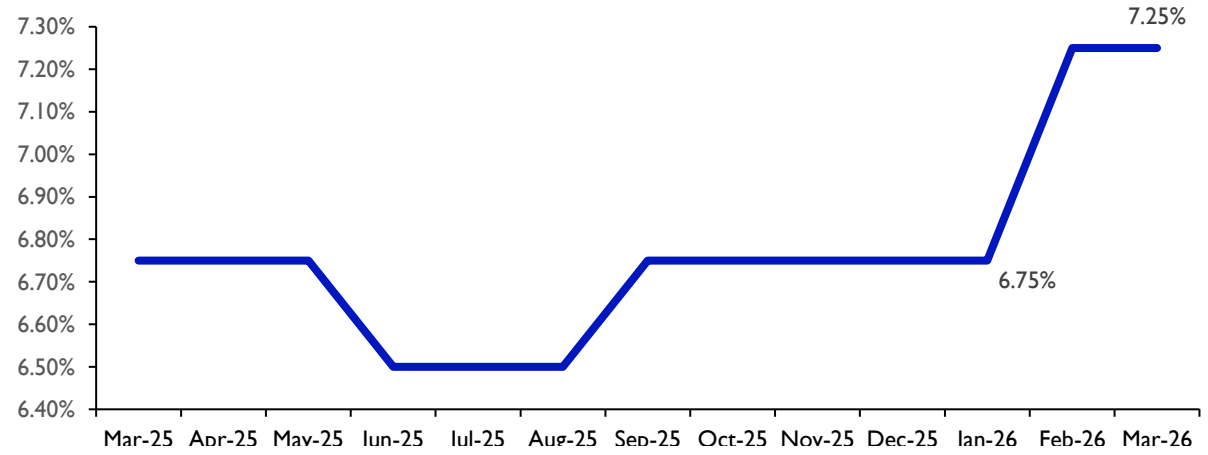
Source: Bank of Uganda, Exchange Rate Statistics, AIB-AXYS Research

Rwanda

Monetary policy

Rwanda was the standout divergent story in Q1 2026: the BNR raised the CBR by 50 basis points to 7.25% at its February 2026 MPC meeting, the largest single hike since August 2023, representing a full tightening pivot. This compares to a CBR of 6.75% in Q1 2025, marking a 50 bps year-on-year increase. Governor Soraya Hakuziyaremye cited the need to limit second-round inflationary effects and anchor price expectations. The move was pre-emptive: with headline inflation breaching the 8.0% upper bound of the 2.0–8.0% target band in January 2026 (touching 8.9% in urban areas), the BNR acted decisively. BNR projected inflation would remain slightly above 8% in H1 2026 before gradually returning to the target band by year-end.

Chart 8: Rwanda: Central Bank Rate (CBR)

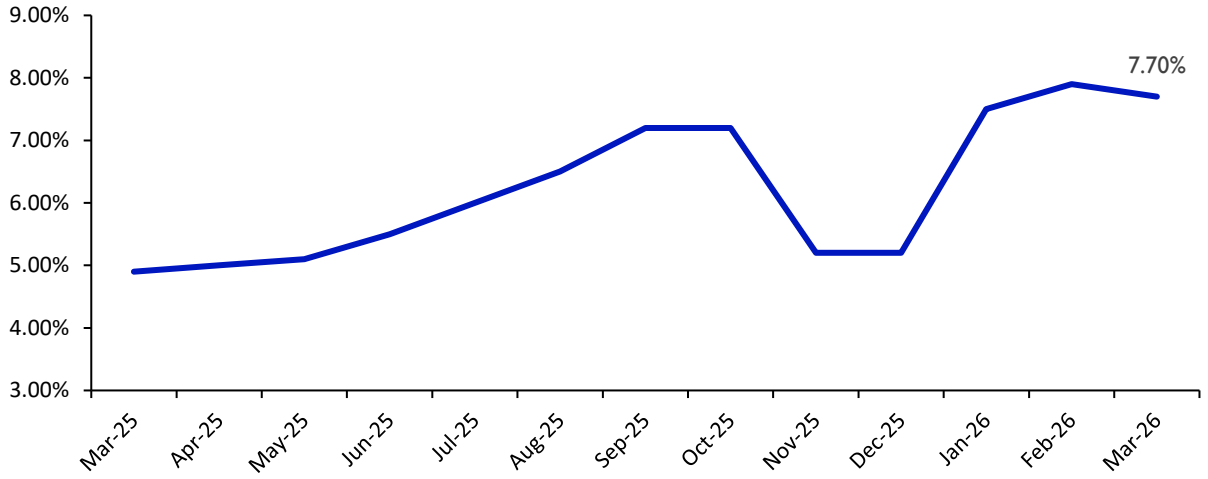


Source: National Bank of Rwanda (BNR), Monetary Policy Report, AIB-AXYS Research

Inflation

Rwanda's inflation was the highest in the EAC-4 during Q1 2026, averaging approximately 7.7%, significantly above the medium-term 5.0% target and testing the 8.0% upper bound. January opened at 7.5% (up from 5.2% in December 2025, a sharp jump), February peaked at 7.9% (an 8-month high), and March moderated slightly to 7.7%. This compares to approximately 5.5% in Q1 2025, a meaningful deterioration of roughly 220 bps year-on-year. Key drivers included restaurants and hotels (+18.2%), alcoholic beverages and tobacco (+15%), education (+10.5%), core energy prices, and food prices that rebounded after a benign Q4. Weather-related agricultural supply constraints and residual imported inflation from global energy markets were cited as primary structural causes.

Chart 9: Rwanda: Headline Inflation

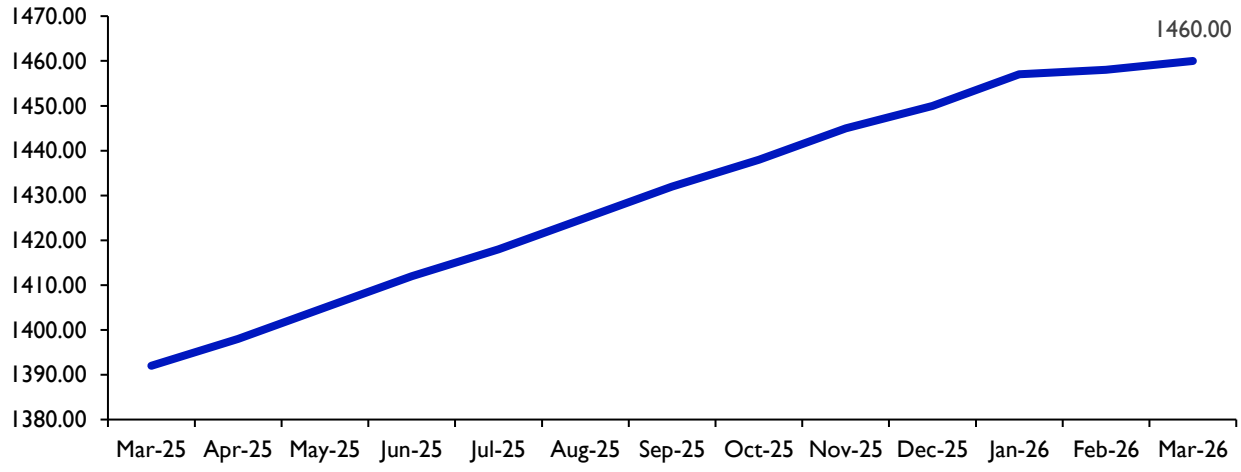


Source: National Institute of Statistics Rwanda (NISR), Consumer Price Index, AIB-AXYS Research

Currency.

The Rwandan franc depreciated modestly but steadily against the USD in Q1 2026, trading around 1,452–1,467 RWF/USD with an average near 1,457 RWF/USD. On a year-on-year basis, the RWF was approximately 4.65% weaker (from 1,392 RWF/USD in Q1 2025). The BNR noted "improved franc stability" in its February statement, attributing this to stronger tourism receipts, higher remittance inflows, and FX market reforms. However, the depreciation trend is a secondary inflation risk that warranted the rate hike. Rwanda's economy showed strong underlying momentum, GDP averaged 8.7% growth through the first three quarters of 2025, and the financial sector remained well-capitalised. The rate hike is expected to moderate credit expansion and cap further currency weakness through 2026.

Chart 10: Rwanda: RWF/USD Exchange Rate



Source: National Bank of Rwanda (BNR), Exchange Rate Statistics, AIB-AXYS Research

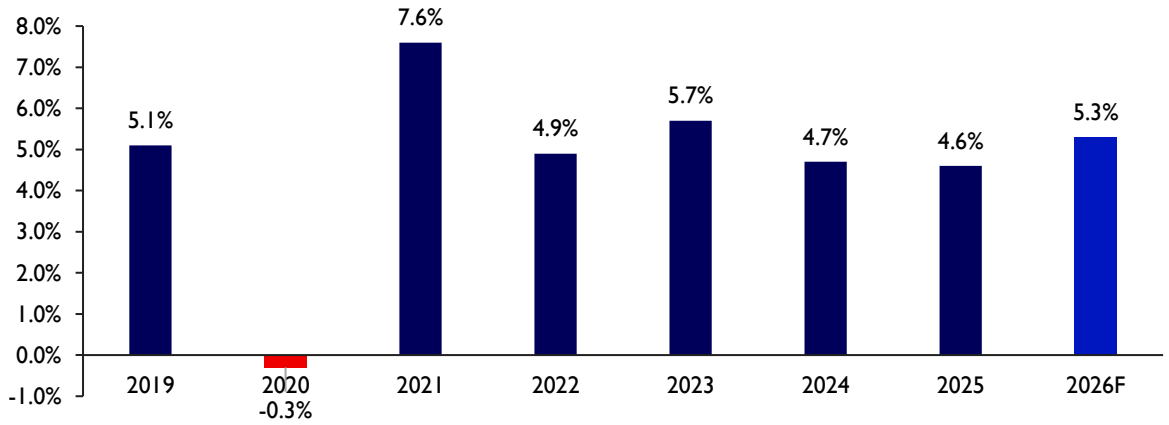
Kenya Macro Outlook

GDP Growth: Growth continues, but not broad-based

According to the Kenya National Bureau of Statistics (KNBS) Economic Survey 2026, Kenya's real GDP grew by 4.6% in 2025, easing marginally from a revised 4.7% in 2024, and continuing the moderate trajectory seen since the post-COVID rebound. Kenya's seven-year growth story demonstrates considerable resilience. The economy expanded at 5.1% in 2019 before contracting by 0.3% in 2020, the only recession on record in recent years, driven by the devastating impact of the COVID-19 pandemic on tourism, trade, and services. The country rebounded sharply to 7.6% in 2021 as activity normalized, before settling into a steadier range of 4.9% in 2022, 5.7% in 2023, and 4.7% in 2024.

The 2025 expansion was broad-based, supported by positive growth across all sectors, underpinned by a significantly more accommodative monetary environment. The Central Bank Rate was progressively cut to 9.0% by December 2025, down from 11.25% at the end of 2024, cumulatively reducing borrowing costs for households and businesses. Annual inflation eased to 4.1% in 2025 from 4.5% in 2024, comfortably within the CBK's 2.5–7.5% target band. Meanwhile, the Kenyan shilling strengthened to an average of 129.30 per USD from a peak of 139.80 in 2023, supported by strong diaspora remittances of KES 661.20 Bn, resilient tea and horticulture exports, and rebuilding foreign exchange reserves. On the fiscal side, ordinary government revenue rose to KES 3.38 Tn, with the fiscal deficit narrowing to 5.0% of GDP, the lowest in five years. Growth is forecast to accelerate to approximately 5.3% in 2026, contingent on continued monetary easing, agricultural sector recovery, and a stable global trade environment, though elevated external debt servicing costs at 31.1% of export earnings and ongoing global trade tensions remain material downside risks to the outlook

Chart 11: Kenya Quarterly GDP Growth



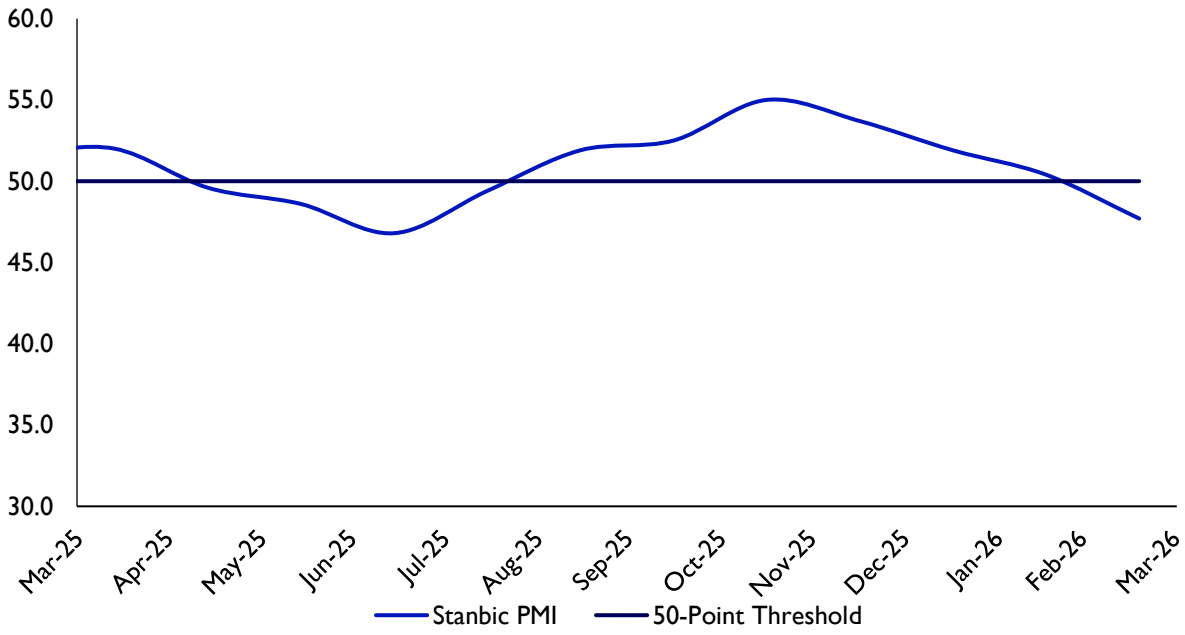
Source: KNBS Economic Survey, AIB-AXYS Africa Research

Business Conditions Reverse: Stanbic PMI Signals Weakening Demand

Private sector activity weakened sharply in Q1 2026, with the Stanbic PMI declining from 51.9 in January to 50.4 in February, before contracting to 47.7 in March, marking the first deterioration in seven months. This represents a clear reversal from Q1 2025, where business conditions improved steadily, with PMI rising from 50.5 in January to 51.7 in March, supported by strengthening demand and easing cost pressures.

The downturn in 2026 reflects deteriorating domestic demand conditions, with firms reporting declines in output and new orders due to constrained consumer spending, tight household budgets, and reduced cash circulation. At the same time, cost pressures have also intensified, driven by higher taxes, fuel and transport costs, with geopolitical tensions, particularly in the Middle East, further exacerbating supply chain disruptions and shipping costs. However, we note that weak demand has limited firms' ability to pass on these costs, pointing to margin compression across the private sector. While business sentiment remains mildly positive, we observe that it has softened relative to 2025, with firms scaling back inventories and moderating hiring amid weaker order pipelines. We therefore expect business activities to remain subdued in Q2, as weak demand and elevated cost pressures continue to constrain a meaningful recovery.

Chart 12: Stanbic Bank Kenya Purchasing Managers Index



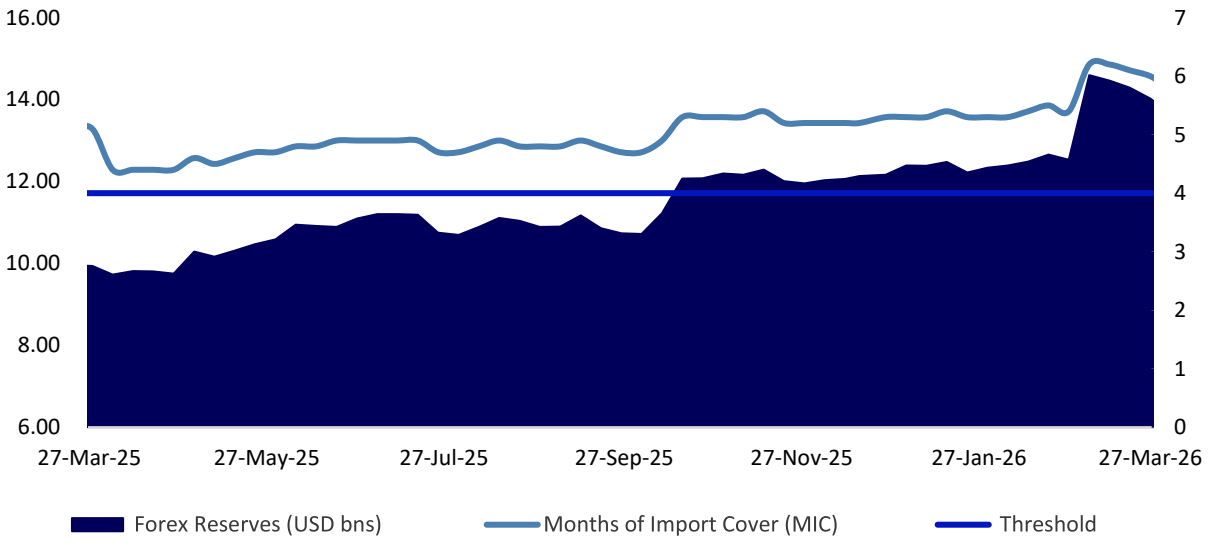
Source: Stanbic Bank Kenya, AIB-AXYS Research

External Position Strengthens: Forex Reserves Provide Buffer

Kenya's external position improved significantly in Q1 2026, with foreign exchange reserves rising to USD 14.00 Bn (6.0 months of import cover), compared to approximately USD 10.00 Bn (5.1 months of import cover) in the same period in 2025. We believe this improvement was supported by strong external inflows, including the successful issuance of a USD 2.25 Bn dual-tranche Eurobond in February 2026, which was partly used for liability management through a buyback of existing notes and for budgetary support. This has strengthened Kenya's external buffers and positioned reserves well above the Central Bank of Kenya's statutory minimum requirement.

We also note that active debt management operations, including successful bond switch auctions and the issuance of longer-tenor domestic bonds, have supported improved debt sustainability and reinforced investor confidence, indirectly underpinning external stability. However, despite this strengthened external position, domestic economic conditions have weakened, suggesting that external stability is being maintained even as demand-side pressures persist within the economy. We expect reserves to remain adequate in the near term.

Chart 13: Forex Reserves Trend



Source: Central Bank of Kenya, AIB-AXYS Research

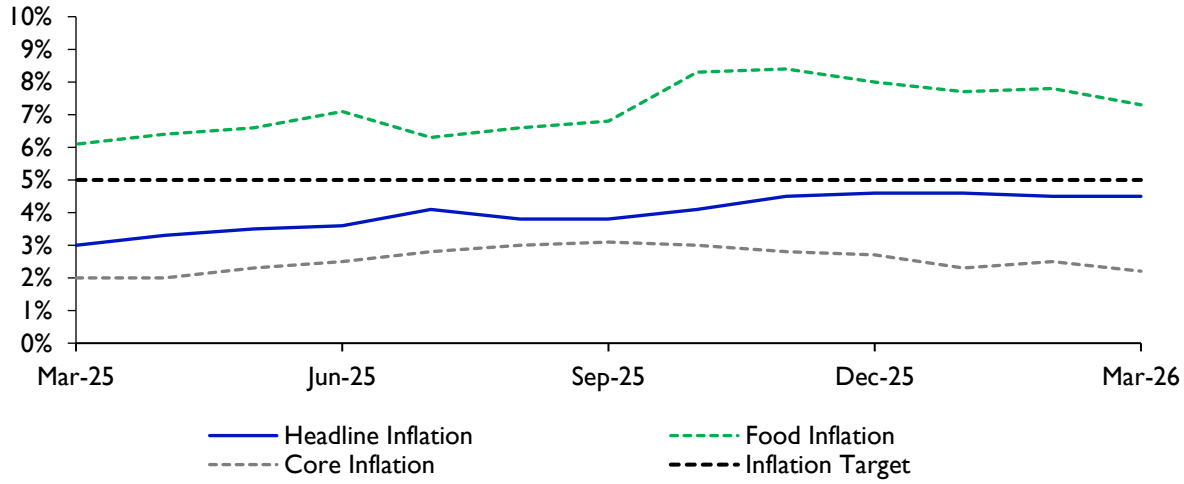
Inflation Remains Stable but Elevated, with Emerging Upside Risks

Inflation remained relatively stable in Q1 2026, averaging 4.3% - 4.4%, compared to a lower range of 3.3% - 3.6% in Q1 2025, indicating a modest but sustained increase in price pressures. We note that inflationary pressures continue to be driven primarily by food prices, alongside sustained increases in transport and energy-related costs. While overall inflation remains within the Central Bank of Kenya's target range, its persistence at higher levels relative to 2025 suggests a continued erosion of household purchasing power, which is likely constraining consumer demand.

Importantly, we observe that inflation dynamics are becoming increasingly cost-driven rather than demand-driven, with price pressures emanating from supply-side factors such as food volatility and energy costs rather than strong consumption. This suggests that underlying economic activity remains weak, even as prices remain elevated. In addition, the stickiness of food inflation continues to pose a structural risk, given its significant weighting in the consumption basket and its direct impact on household welfare.

We expect inflation to remain moderately elevated, with risks tilted to the upside. In particular, geopolitical tensions, especially in the Middle East, could exert additional pressure through higher fuel, transport, and supply chain costs, reinforcing inflationary pressures. The recent uptick in inflation at the start of Q2 provides an early indication that price pressures may intensify, even as stable currency conditions offer some offset.

Chart 14: CPI Inflation



Source: Kenya National Bureau of Statistics, AIB-AXYS Research

Currency Stability Supported but Pressures Emerge

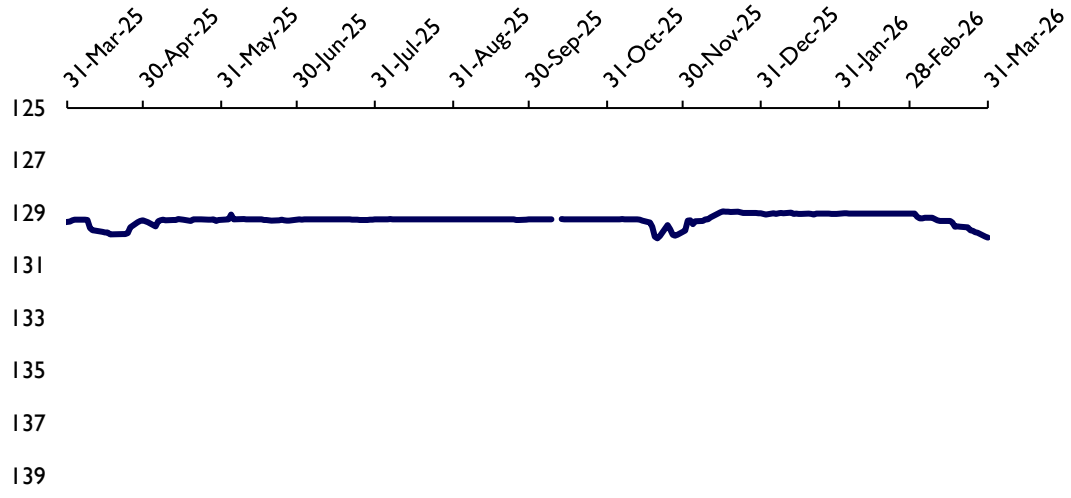
The Kenyan Shilling remained largely stable in Q1 2026, trading within a narrow range of approximately KES 129.00–129.02 per USD through January and February, compared to a relatively wider range of KES 129.29–129.64 per USD in Q1 2025. This reflects improved exchange rate stability in 2026, supported by stronger external buffers and enhanced market conditions.

However, we observe a gradual depreciation toward the end of Q1 2026, with the currency weakening to approximately KES 129.93 per USD in March, indicating emerging external pressures. We attribute this movement partly to heightened global risk sentiment and geopolitical tensions, particularly in the Middle East, which have increased demand for foreign currency and introduced external volatility.

Despite this, overall currency stability has been underpinned by strong foreign exchange reserves, external financing inflows, including the February Eurobond issuance, and active policy support, which have helped anchor the exchange rate through most of the quarter.

Importantly, we note that while exchange rate resilience has supported inflation containment, the recent depreciation trend presents upside risks to inflation and external stability, particularly if external pressures persist. We expect the shilling to remain relatively stable, but with a weakening bias, as geopolitical risks, global financial conditions, and external financing dynamics continue to shape currency movements.

Chart 15: Kenya Shilling Performance Against the US Dollar



Source: Central Bank of Kenya, AIB-AXYS Research

Exchequer: Revenue Strains and Rising Borrowing

Early last month, the President signed Supplementary Budget I, which revised down the tax revenue target while at the same time increasing the domestic borrowing target. We had flagged this in our yearly outlook, as the government continued to lag behind its revenue targets. It is important to note that despite consistently missing revenue targets, revenue collection has improved, and key initiatives have been introduced, such as the Electronic Rental Income Tax System, mandatory eTIMS compliance for tax purposes, and the introduction of automated payment plans for tax liabilities. The tax authority lagged behind revenue targets during the first nine months of fiscal year 2025/26, with tax revenue coming in at KES 1,717.63 Bn compared to the prorated target of KES 1,950.60 Bn, translating to an 88.1% performance against the revised estimates. Non-tax revenue also came in lower at KES 109.28 Bn, translating to 79.3% of the revised estimates. It is important to note that the government increased the non-tax revenue target by 43.8% to KES 183.65 Bn from KES 127.65 Bn.

An increase in expenditure in the supplementary budget widened the deficit. In a bid to bridge the gap, the government increased domestic borrowing. The domestic borrowing target was revised to KES 1,667.70 Bn from KES 1,498.26 Bn. Total domestic borrowing stood at KES 965.87 Bn, translating to 77.1% of the revised estimates. At the same time, external financing was revised upward to KES 694.27 Bn from KES 569.81 Bn in the original estimates. In the first nine months, external borrowing reached KES 553.37 Bn, translating to a performance rate of 106.3% of the prorated revised estimates. Authorities also revised recurrent exchequer issues and CFS exchequer issues to KES 1,676.57 Bn and KES 2,584.62 Bn, respectively. Notably, development expenditure lagged at 72.5% of the revised estimates, standing at KES 262.63 Bn, while the equitable share to counties remained unchanged at KES 415.00 Bn. By the close of Q1 2026, KES 275.98 Bn had been disbursed to county governments.

Table 1: Fiscal Performance for the first nine months of FY2025/2026 (in Billions)

	Mar-26			
	Original Estimates	**Revised Estimates**	**Actual Receipts**	**% of the prorated**
Opening Balance			6.427596937	
Tax Revenue	2,627.06	2,600.77	1,717.63	88.1%
Non-Tax Revenue	127.65	183.65	109.28	79.3%
Total Revenue	**2,754.71**	**2,784.41**	**1,826.91**	**87.5%**
External Loans & Grants	569.81	694.27	553.37	106.3%
Domestic Borrowings	1,098.26	1,669.70	965.87	77.1%
Other Domestic Financing	10.8	10.80	8.16	100.8%
Total Financing	**1,678.87**	**2,374.76**	**1,527.40**	**85.8%**
Recurrent Exchequer issues	1,470.45	1,676.57	1,171.90	93.2%
CFS Exchequer Issues	2,141.03	2,584.62	1,496.72	77.2%
Development Expenditure & Net Lending	407.1	482.99	262.63	72.5%
County Governments+ Contingencies	415	415.00	275.975	88.7%
Total Expenditure	**4,433.58**	**5,159.17**	**3,207.22**	**82.9%**

Source: National Treasury, AIB-AXYS Research

Looking ahead, we expect the government to continue lagging behind its revenue targets. We note that last month, Value Added Tax on fuel was temporarily reduced to 8.0% from 16.0% for a period of 90 days following the sharp increase in fuel prices in the country. This is likely to emerge as a challenge to the exchequer heading into the last quarter of the fiscal year. If inflation remains sticky or rises further, spending may weaken, posing an additional challenge to revenue collection. We foresee continued heavy reliance on domestic borrowing to bridge the funding gap.

The Liability Management Playbook

As per the Annual Borrowing Plan, the government continued to execute key liability management strategies, which featured buybacks and bond switches. In addition, due to prudent liability management, the country received credit rating upgrades from global credit rating agencies. Notably, during the quarter, Moody's upgraded Kenya's long-term foreign currency sovereign credit rating to "B3" from "Caa1", citing eased near-term default risk. Additionally, during the quarter, Fitch affirmed Kenya's Long-Term Foreign Currency Issuer Default Rating at "B-" with a stable outlook. The agency noted that Kenya's stronger foreign exchange reserves cushioned the country from external financing risks; however, it cautioned that the external debt service burden remained high.

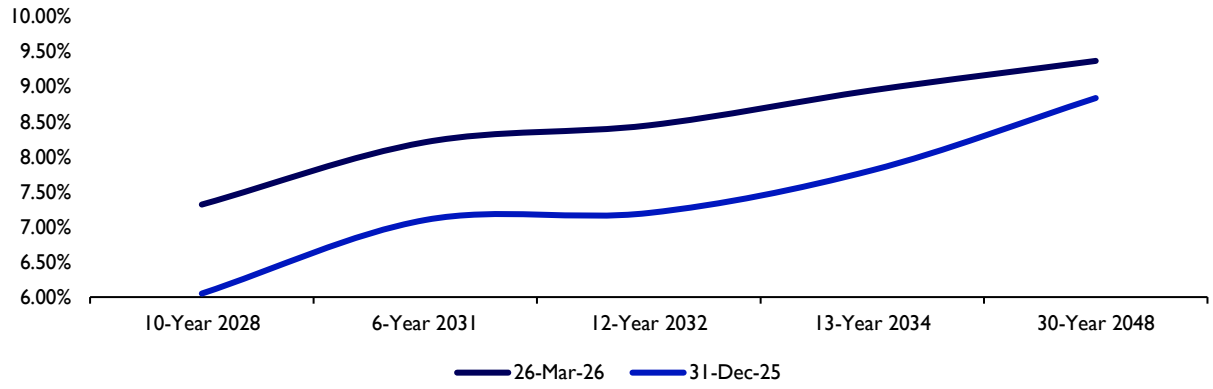
We viewed the upgrade by Moody's as a key confidence booster for the country's return to the international debt market. It also improved market confidence, leading to easing yields on Eurobonds. In February, authorities executed partial buybacks for the 7.25% USD 1.0 Bn notes maturing in 2028 and the 8.0% USD 1.20 Bn notes due in 2032. The combined papers had maturities amounting to USD 500.00 Mn, comprising USD 150.00 Mn for the 2028 notes and USD 350.00 Mn for the 2032 notes. The government accepted USD 324.80 Mn, with holders of the 2028 notes tendering USD 90.00 Mn, all of which was accepted.

To fund the buyback, the government raised USD 2.30 Bn through a dual tranche Eurobond issuance: i) a USD 1.40 Bn 12-year issuance priced at 8.7%, due in 2039 with amortization between 2037 - 2039, and ii) a USD 900.00 Mn 7-year paper priced at 7.9%, maturing in 2034 with amortization between 2032 - 2034. Excess proceeds from the buyback were directed towards the country's foreign reserves, which improved during the quarter.

During the quarter, the government also fronted two bond switches: i) a proposed switch of KES 20.00 Bn from FXD1/2016/010, maturing in August, to FXD1/2022/015, and ii) a switch of KES 15.00 Bn maturing in November, from FXD1/2021/005 to FXD3/2019/015.

Eurobond yields eased following the Moody's upgrade and the improvement in foreign reserves. However, heightened geopolitical tensions in the Middle East triggered inflationary risks. Investors have continued to price in these risks, as well as pressure on the currency, given expectations of higher import costs. Consequently, yields have gradually ticked up.

Chart 16: Kenya Eurobond Yield Evolution



Source: Central Bank of Kenya, AIB-AXYS Research

Going forward, we expect the government to continue implementing its borrowing plan within the broader management of the country's liability profile. It is worth mentioning that the government has already issued its first debt instrument in the fiscal year. A debt for food security swap with the US International Development Finance Corporation is also expected to feature in Q2, as guided by the Annual Borrowing Plan.

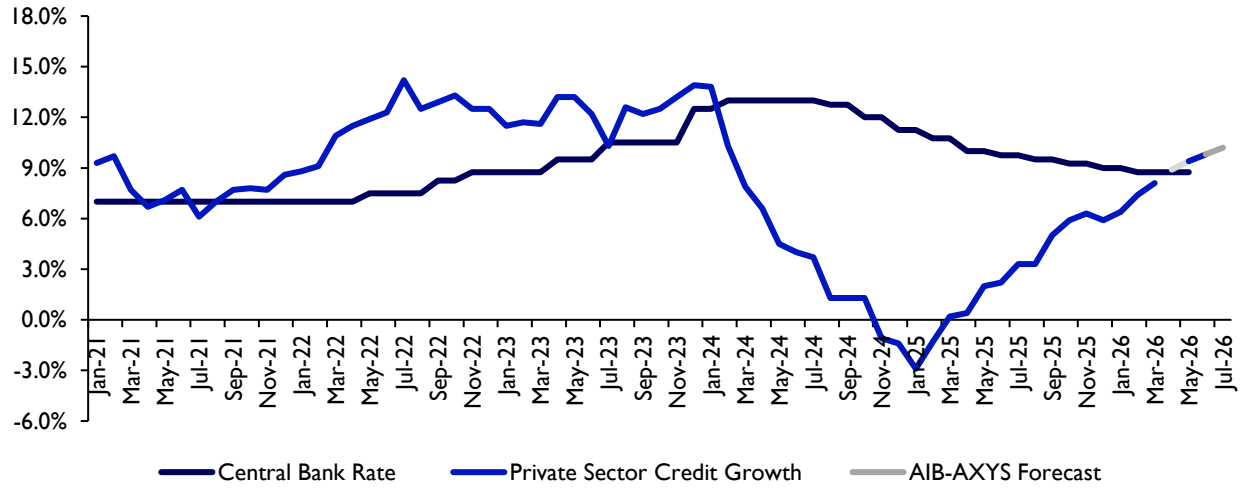
Monetary Policy at a Crossroads

In our yearly investment outlook, we estimated at least three 25 bps cuts to the benchmark rate. Additionally, the Central Bank signaled its intention to continue with the rate-cutting cycle in a bid to spur growth and stimulate lending to the private sector, while inflation was expected to remain within the Central Bank's target range of 2.5%-7.5%. As the year has progressed, a lot has changed, especially in the global geopolitical space, with disruptions to oil supply triggering inflation risks. These effects have rippled from the Middle East to the local economy, sending policymakers back to the drawing board to reassess the policy path.

During the quarter, there was only one Monetary Policy Committee meeting, held in February. The committee decided to implement another 25-bps cut, bringing the benchmark rate to 8.75%, which was in line with our expectations. The committee also narrowed the interest rate corridor around the Central Bank Rate by 25 bps to 50 bps from 75 bps, aiming to strengthen the effectiveness of the monetary policy framework and enhance transmission. These changes were implemented to align the Kenya Shilling Overnight Interbank Average, KESONIA, with the CBR. In addition, the committee approved an adjustment of the applicable interest rate on the Discount Window from 75 bps above the CBR to 50 bps above the CBR. Previous policy measures have shown positive results. Lending to the private sector improved to 6.4% in January from 5.9% in December 2025, with growth evident in key sectors such as building and construction. Additionally, as banks continued to ease lending rates, the banking sector's asset quality improved, with the gross non-performing loans to gross loans ratio at 17.6% in January compared to 16.7% in August.

Looking ahead, the monetary policy path remains uncertain, especially in the near term, due to the ongoing conflict in the Middle East, which has lifted global inflationary pressures on account of higher energy and fertilizer prices. There has been some progress towards resolving the conflict; however, no concrete conclusion has been reached by the time of writing. Even if an agreement is reached between the US, Israel, and Iran, normalization of navigation through the Strait may take longer. In addition, damage to key infrastructure may keep oil prices elevated. If inflation falls within the CBK target range, policymakers may resume rate cuts later in the year. However, the current base case is to keep rates steady while monitoring how the situation unfolds in the Middle East.

Chart 17: Central Bank Rate and Private Sector Credit Growth Forecasts



Source: Central Bank of Kenya, AIB-AXYS Research

Equities Outlook

It was more of a season two for global equity markets, under Trump 2.0 in the first quarter of the year, mirroring the events witnessed in the first part of last year. This time, markets grappled with heightened geopolitical tensions, which mirrored the tariff jitters that gripped markets last year, while global economic growth continued to nurse the effects of tariffs.

Before the unprecedented conflict in the Middle East, following a joint US-Israel attack on Iran, investors had started questioning whether AI capex plans would ultimately yield sufficient returns on investment, despite some major players funding their capex internally. Before the conflict in the Middle East, European markets had started outperforming the US market; however, heightened geopolitical tensions in the region wiped out earlier gains.

A similar pattern was recorded last year after tariff concerns triggered volatility, particularly during the first three months of the year. Emerging markets appeared more resilient despite heightened geopolitical tensions in the Middle East, even though they face greater risks from oil market disruptions, given that most are net oil importers compared to developed markets. The MSCI Emerging Markets Index posted a 0.2% decline, comparatively lower than the 3.6% decline recorded by the MSCI World Index.

Table 2: Regional Equities Performance (USD % Terms)

Index	YTD
MSCI World	▼ (3.6%)
MSCI Emerging Markets	▼ (0.2%)
MSCI ACWI	▼ (3.2%)
Average	▼ (2.3%)

Source: MSCI World, AIB-AXYS Research

Africa Equities Market Performance

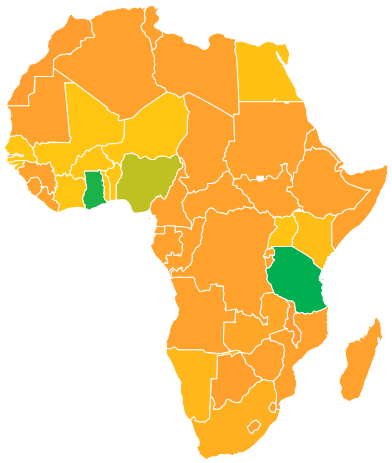
Sub-Saharan equity markets closed the quarter with moderate returns, with select markets posting an average return of 12.5% in local currency terms. Ghana emerged as the best-performing market, registering 48.9% return, while Morocco posted a discount of 8.9%.

Table 3: Sub-Saharan Equities performance (LCU)

Country	Q1'26 LCU Returns
Ghana	▲ 48.9%
Tanzania	▲ 39.4%
Nigeria	▲ 29.4%
Zimbabwe	▲ 29.0%
Uganda	▲ 19.8%
West Africa	▲ 18.1%
Egypt	▲ 8.3%
Zambia	▲ 5.3%
Kenya	▲ 4.4%
Rwanda	▲ 3.8%
Botswana	▲ 0.5%
South Africa	▼ (1.5%)
Malawi	▼ (3.8%)
Mauritius	▼ (5.4%)
Morocco	▼ (8.9%)
Average	▲ 12.5%

Source: African Markets

Chart 18: African Equities LCU Return Heatmap



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Kenya's Equities Outlook

Following a stellar performance in 2025, the equities market carried that same momentum into 2026. Major blue chips posted strong earnings growth through 2025, and as the earnings season approached, investors began taking positions to lock in dividends, which kept the bull run intact. By the last trading day of February, the Nairobi All Share Index (NASI) was already up 15.8% on a year-to-date basis. However, 28th February marked a storm over paradise following the joint US-Israel attack on Iran. This triggered a decline in the local equities market, in tandem with peers across the region, as well as global markets. Investor jitteriness intensified, leading to widespread unwinding of positions in favor of cash and near-cash, largely driven by foreign investors, who had already closed the previous year as net sellers. Geopolitical tensions in the Middle East wiped out 9.8% in March alone. Despite these sell-offs, the market still managed to close the quarter in positive territory.

The unfolding geopolitical tensions in the Middle East have forced policymakers back to the drawing board, prompting a reassessment of the policy path adopted since August 2024. The conflict has had a significant impact on global oil prices. The Strait of Hormuz, controlled by Iran and a key oil chokepoint, has effectively become a high-risk passage for oil vessels. Given that it facilitates roughly 20.0% of global oil supply, disruptions drove oil prices sharply higher. With oil being a critical input in the domestic economy, this has further fueled inflationary pressures. This helps explain why the Monetary Policy Committee (MPC) held rates steady in April. It is worth noting that the rate-cutting cycle had been a key catalyst supporting the equities market. At the start of the year, we had anticipated at least three rate cuts, and the committee had previously signaled room for easing prior to the conflict. However, a reconsideration of further cuts in the near term will likely depend on clear signs of resolution and normalization in oil shipments, developments that may take time even after tensions subside. In the meantime, inflation is expected to edge higher, driven by rising energy prices.

In terms of performance, the Nairobi All Share Index (NASI) added 4.4% during the quarter to close at the quarter at 194.82 points, which was a 48.9% gain from a yearly perspective from 130.81 points in Q1'2025. At the same time, NSE 10, NSE 20, and NSE 25 added 3.3%, 9.3%, and 6.3%, respectively.

Trading activities increased by 33.0% on a quarterly basis, to KES 56.21 Bn; meanwhile, this was a 114.4% on a yearly basis from KES 26.21 Bn. Foreigners closed yet again at a selling position, recording KES 8.78 Bn net outflows for the quarter, translating to 90.4% increase on a quarterly basis from KES 4.61 Bn net outflows, while this was a 169.7% on a yearly basis from KES 3.25 Bn net outflows.

Table 4: Kenya Equity Market Quarterly Statistics

Statistics	Q1'24	Q1'25	Q4'25	Q1'26	% q/q Change	% y/y Change
Equity Turnover (KES Mn)	18,508.63	26,211.04	42,255.04	56,207.37	▲ 33.0%	▲ 114.4%
Market Cap (KES Bn)	1,766.95	2,056.07	2,944.54	3,230.73	▲ 9.7%	▲ 57.1%
NSE All Share Index	113.09	130.81	186.58	194.82	▲ 4.4%	▲ 48.9%
NSE 10 Index	1,155.41	1,342.38	1,965.20	2,030.35	▲ 3.3%	▲ 51.3%
NSE 20 Index	1,752.43	2,226.88	3,139.19	3,431.56	▲ 9.3%	▲ 54.1%
NSE 25 Index	2,975.42	3,532.38	5,096.68	5,416.72	▲ 6.3%	▲ 53.3%
Foreign Buys	10,268.73	8,523.93	13,895.84	14,183.71	▲ 2.1%	▲ 66.4%
Foreign Sales	12,317.63	11,779.60	18,508.14	22,964.28	▲ 24.1%	▲ 94.9%
Net F. Flows	(2,227.86)	(3,255.67)	(4,612.31)	(8,780.57)	▲ 90.4%	▲ 169.7%
Total Volume Traded (Mn)	1,069.72	1,572.48	1,868.99	1,854.31	▼ (0.8%)	▲ 17.9%

Source: NSE, AIB-AXYS Research

Table 5: NSE Top Movers Q1 2026

Top Movers 2026	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Equity Group Holdings	KES 11,972.5	$92.15	40.3%	KES 69.00	▲ 3.4%
Safaricom Plc	KES 11,627.6	$89.49	49.3%	KES 27.50	▼ (3.0%)
KCB Group	KES 7,924.6	$60.99	28.8%	KES 67.75	▲ 3.0%
Stanbic Holdings	KES 3,670.9	$28.25	65.3%	KES 257.00	▲ 30.0%
East African Breweries	KES 2,180.2	$16.78	29.0%	KES 251.00	▼ (4.6%)
Co-operative Bank of Kenya	KES 2,079.1	$16.00	2.3%	KES 27.00	▲ 12.7%
I&M Holdings	KES 2,046.6	$15.75	2.4%	KES 48.60	▲ 14.5%
NCBA Group	KES 1,939.4	$14.93	3.8%	KES 90.75	▲ 8.0%
Absa Bank Kenya	KES 1,774.9	$13.66	17.2%	KES 28.55	▲ 15.6%
ABSA New Gold ETF	KES 1,622.7	$12.49	50.3%	KES 5,700.00	▲ 6.0%
Kenya Power & Lighting Co	KES 1,319.2	$10.15	10.1%	KES 16.05	▲ 18.0%
British American Tobacco Kenya	KES 1,286.3	$9.90	29.0%	KES 565.00	▲ 23.1%
KenGen Co.	KES 1,183.8	$9.11	11.0%	KES 9.08	▼ (1.1%)
Diamond Trust Bank	KES 969.2	$7.46	16.1%	KES 146.00	▲ 27.5%
Standard Chartered Bank	KES 955.6	$7.35	12.6%	KES 330.25	▲ 11.1%

Source: NSE, AIB-AXYS Research

The top traded counters over the quarter *were* ***Equity Group Holdings, Safaricom, and KCB Group***, with cumulative turnover coming at ***KES 11.97 Bn, KES 11.62 Bn, and KES 7.92 Bn***, respectively. We note that for these top three counters, their trading activity increased compared to the same period last year, despite lower foreign investor participation in the market.

Bullish sentiment was largely skewed on KPLC, which recorded cumulative net inflows amounting to KES 47.67 Mn, whereas, on the other hand, bearish sentiment was skewed on Safaricom, which recorded net outflows amounting to KES 4,340.72 Mn.

Table 6: Top Foreign Buys and Sales Q1 2026

Top Foreign Sales

Counter	Turnover (KES)
Safaricom Plc	7,902,029,629.55
Equity Group Holdings	5,233,500,531.50
KCB Group	2,509,089,709.50
Stanbic Holdings	2,373,904,852.00
East African Breweries	949,376,894.50
ABSA New Gold ETF	876,962,224.00
British American Tobacco Kenya	725,420,615.25
Absa Bank Kenya	559,503,678.65
Nairobi Securities Exchange	400,693,575.00
Diamond Trust Bank	285,538,651.75

Top Foreign Buys

Counter	Turnover (KES)
Equity Group Holdings	4,412,335,720.75
Safaricom Plc	3,561,312,913.80
Stanbic Holdings	2,418,012,566.50
KCB Group	2,061,047,543.50
ABSA New Gold ETF	754,159,840.00
East African Breweries	314,422,670.25
Kenya Power & Lighting Co	157,283,511.15
BK Group	114,660,833.55
I&M Holdings	70,717,774.80
NCBA Group	54,174,105.50

Source: NSE, AIB-AXYS Research

Table 7: Top Foreign Net Inflows and Net Outflows Q1 2026

Top Net Inflows

Counter	Turnover KES
KPLC	47,677,475.80
I&M Holdings	44,514,776.30
Stanbic Holdings	44,107,714.50
Carbacid Investments	30,443,931.30
Kenya Pipeline Company	11,265,041.84
Umeme Ltd	8,350,819.00
Centum Investment	7,288,151.25
B.O.C Kenya	5,512,841.00
Williamson Tea Kenya	1,400,889.00
Total Kenya	683,841.10

Top Foreign outflows

Counter	Turnover KES
Safaricom Plc	(4,340,716,715.95)
Equity Group Holdings	(821,164,810.50)
British American Tobacco Kenya	(703,689,544.25)
East African Breweries	(634,954,224.25)
Absa Bank Kenya	(507,384,514.15)
KCB Group	(448,042,166.50)
Nairobi Securities Exchange	(389,017,533.40)
Diamond Trust Bank	(258,766,863.00)
KenGen Co.	(203,737,833.72)
Standard Chartered Bank	(197,191,273.25)

Source: NSE, AIB-AXYS Research

Small-cap stocks continued to feature in the top gainers list. Uchumi Supermarket was the top gainer, surging 98.1% to close the quarter at KES 2.04 per share. (*A see-saw pattern of trading continues to prevail for the counter, with speculative retail investors taking center stage to benefit from sharp and quick capital gains. We still classify the counter as a speculative play, as the company remains in a negative equity position)* . Additionally, Flame Tree Group Holdings, Africa Mega Agricorp, Eaagads Ltd, and Sasini PLC gained by 64.3%, 63.8%, 49.6%, and 43.4%, respectively. Notably, during the quarter, Olympia Capital Holdings, Eveready East Africa, WPP Scangroup, Williamson Tea Kenya, and HF Group were the top losers, shedding 17.8%, 11.7%, 10.2%, 7.5%, and 5.8%, respectively.

Table 8: Top Gainers and Losers

Top Gainers 2026	Closing Price		% Change
Uchumi Supermarket	KES	2.04	▲ 98.1%
Flame Tree Group Holdin	KES	2.58	▲ 64.3%
Africa Mega Agricorp	KES	115.50	▲ 63.8%
Eaagads Ltd	KES	30.30	▲ 49.6%
Sasini Plc	KES	25.60	▲ 43.4%
Kenya Airways Ltd	KES	4.91	▲ 39.1%
Britam Holdings	KES	12.20	▲ 34.1%
Stanbic Holdings	KES	257.00	▲ 30.0%
Diamond Trust Bank	KES	146.00	▲ 27.5%
Car & General	KES	64.25	▲ 26.0%

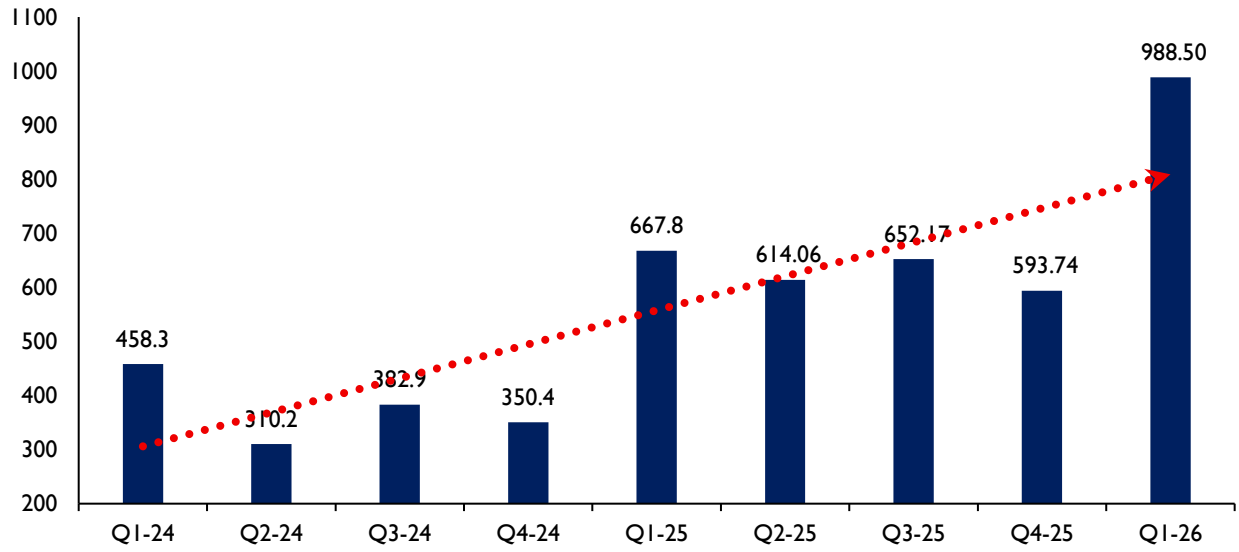
Top Losers 2026	Closing Price		% Change
Olympia Capital Holdings	KES	6.76	▼ (17.8%)
ILAM FAHARI I-REIT	KES	1.23	▼ (12.1%)
Eveready East Africa	KES	1.21	▼ (11.7%)
WPP Scangroup	KES	2.29	▼ (10.2%)
Williamson Tea Kenya	KES	138.25	▼ (7.5%)
HF Group Plc	KES	9.38	▼ (5.8%)
Satrix MSCI World Feeder ETF	KES	5,375.00	▼ (5.2%)
East African Breweries	KES	251.00	▼ (4.6%)
B.O.C Kenya	KES	121.50	▼ (4.3%)
Liberty Kenya Holdings	KES	9.70	▼ (4.0%)

Source: NSE, AIB-AXYS Research

Fixed Income Outlook

Following a strong performance in 2025, the secondary bond market recorded another robust performance in Q1, with turnover reaching KES 988.5 Bn during the quarter, representing a 48.0% increase from the same period last year, when turnover stood at KES 667.8 Bn, excluding over-the-counter transactions. Easing monetary policy has been a key driver, particularly for income-focused investors who returned to the secondary market to lock in premium exits following mark-to-market gains. In addition, investors who were unsuccessful in the primary market channelled their funds into the secondary market. Older, high-coupon bonds also attracted significant activity. Notably, during the quarter, authorities executed bond switches in a bid to manage near-term maturities and lengthen the overall maturity profile.

Chart 19: NSE Secondary Bond Market Turnover in KES in Bns

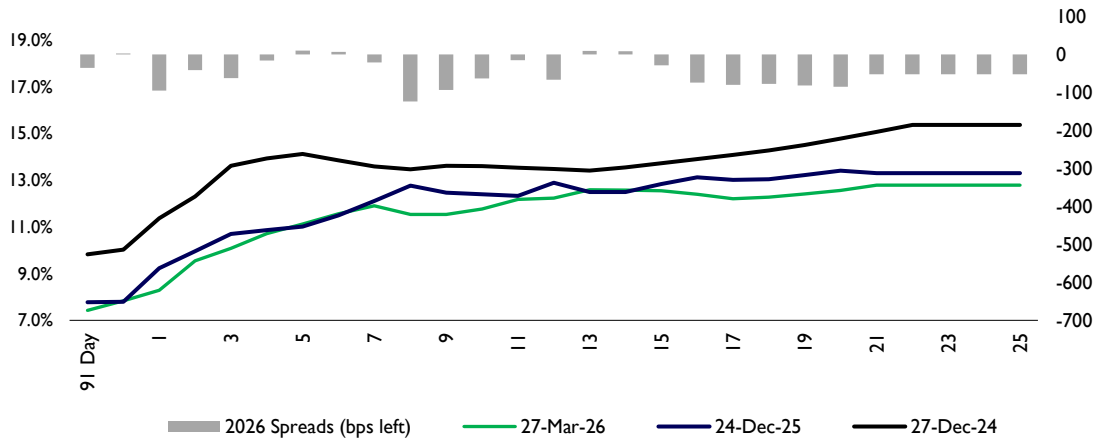


Source: NSE, AIB-AXYS Research

In Q2, we expect secondary market activity to remain active. The government is likely to turn to the primary market to raise funds for upcoming maturities. The asset management business continues to show solid growth in the country. We expect fund managers as well as pension firms to increase allocations to the bond market as they manage their portfolios.

Yield Curve

Chart 20: Kenya Domestic Yield Curve Evolution



Source: NSE, AIB-AXYS Research

We expected further yield curve normalization in 2026, following the softening observed in 2025 in tandem with easing monetary policy. This trend continued during the quarter, with yields declining, albeit at a slower pace than in the same period last year. During the quarter, the front end, mid segment, and long end of the curve eased by 40.04 bps, 50.16 bps, and 77.46 bps, respectively. Additionally, there was one rate cut in February. At the start of 2026, we had expected at least three rate cuts. However, with the conflict in the Middle East remaining an overhang, the monetary policy outlook remains complex.

Going forward, several key factors will come into play. Inflationary pressures have already emerged, largely driven by the Middle East conflict. As a result, investors are likely to demand higher compensation to protect their real returns, which may lead to more aggressive bidding in primary issuances. On the other hand, authorities remain keen to contain the cost of debt servicing. These opposing forces are likely to create a tug of war between the government and investors, particularly in the primary market. If inflation remains persistent, yields could begin to rise.

Portfolio Recommendation

We advocated for high-quality counters at the beginning of the year in our model portfolio. We called for a portfolio with a good mix of quality capital gains stocks and solid dividend counters to add defensiveness to the portfolio. Our investment strategy has largely materialized throughout the year through capital gains and healthy dividends. In our model portfolio, we are rebalancing by having only one counter.

Quality stocks with a durable moat and growth headroom tend to post resilient earnings, which support share price appreciation as price discovery takes place in the market. It is also important to note that strong earnings support dividend payouts. An efficient market rewards quality dividends through share price appreciation. We identified quality stocks across the banking, insurance, telecommunications, manufacturing, allied, and agricultural sectors.

During the quarter, dynamics shifted across the investment landscape, including changes in monetary policy and geopolitical developments that disrupted both local and global equities markets. In search of near-term cash positions, selling pressure mounted, pushing prices lower. This presented an opportunity to add exposure to quality positions.

We remain bullish on equities, as catalysts remain present to support the market despite the prevailing instability, particularly for counters with strong fundamentals. Book closure dates are rapidly approaching; after book closures, attractive entry positions are likely to emerge as income-focused investors exit their positions.

AIB-AXYS Africa Equities Portfolio Recommendation Q2 2026

As uncertain global market conditions continue to pressure local equity performance, we view the weakness as an opportunity for investors to accumulate quality positions at attractive valuations while rebalancing their portfolios. We remain constructive on the banking, energy and petroleum, insurance, and manufacturing sectors, which we believe still offer strong potential for capital appreciation.

Table 9: AIB-AXYS Equities Portfolio

Counter	Sector	Closing Price 31st March 2026	Q1' Weighting	Q2' Weightings
Kapchorua	Agriculture	239.25	10.00%	10.00%
Stanbic Holdings	Banking	280.50	10.00%	10.00%
KCB Bank	Banking	67.75	10.00%	10.00%
Equity Group	Banking	69	10.00%	10.00%
KPLC	Energy & Petroleum	16.05	10.00%	10.00%
KenGen	Energy & Petroleum	9.08	10.00%	10.00%
Kenya RE	Insurance	3.13	10.00%	10.00%
British American Tobacco	Manufacturing & Allied	565	10.00%	10.00%
Carbacid Investments	Manufacturing & Allied	29	10.00%	0.00%
Safaricom	Telecommunication	27.5	10.00%	10.00%
TotalEnergies	Energy & Petroleum	39.8	0%	10%

Source: NSE, AIB-AXYS Africa Research

AIB-AXYS Africa Fixed Income Portfolio recommendation 2026

For investors who are not aggressive and are seeking moderate returns, we recommend medium and long-term bonds with higher yields. These bonds offer attractive coupons, and in a low-interest-rate environment, we anticipate price appreciation. Below is a list of our recommended bonds.

Table 12: Top bond picks

Issue No.	Next Coupon Payment Date	Maturity Date	Fixed Coupon Rate*	Modified Duration (%)	Implied Yield to Maturity
FXD1/2022/025	19-Oct-26	23-Sep-47	14.19%	6.9	12.9%
FXD1/2021/025	2-Nov-26	9-Apr-46	14.15%	7.3	12.9%
IFB1/2021/021	9-Jul-26	18-Aug-42	12.73%	7.7	11.4%
IFB1/2023/017	7-Sep-26	20-Feb-40	14.40%	6.8	12.5%
SDB1/2011/030	10-Aug-26	21-Jan-41	12.00%	7.6	12.7%
FXD1/2020/015	17-Aug-26	5-Feb-35	12.76%	6.8	12.0%
FXD2/2018/020	20-Jul-26	5-Jul-38	13.20%	7.2	12.4%
FXD1/2019/015	20-Jul-26	9-Jan-34	12.73%	6.5	12.1%
FXD1/2023/010	10-Aug-26	31-Jan-33	14.15%	5.5	12.3%
IFB1/2024/8.5	17-Aug-26	9-Aug-32	18.46%	4.8	12.3%

Source: NSE, AIB-AXYS Research

*Fixed Coupon Rates are Gross of Withholding Tax where applicable.

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Average*	**50,000**		**14.2**	**219.8%**	**13.138%**	**13.509%**	**13.292%**

*Source: CBK, AIB-AXYS Research, * - Yearly average results excludes tap sales*

AIB AXYS AFRICA

Q2 2026 INVESTMENT OUTLOOK

MARKET SCORECARD

As of: 11/May/26

AGRICULTURAL	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eaagads Ltd	30.30	▲ 2.2%	▲ 49.6%	865	40.23	974.4	0.03%	0.37	-	81.9x	0.8x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	428.25	▼ (0.2%)	▲ 6.5%	35	284.08	8,393.7	0.27%	17.12	16.00	25.0x	1.5x	3.7%	80.9%	6.0%	4.6%
Kapchorua Tea Kenya Plc	239.25	▲ 0.4%	▲ 3.3%	613	255.42	1,871.9	0.06%	23.16	25.00	10.3x	0.9x	10.4%	107.9%	9.1%	6.7%
The Limuru Tea Co. Plc	500.00	▼ (2.7%)	▲ 8.7%	21	63.73	1,200.0	0.04%	(6.34)	-	(78.9x)	7.8x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	25.60	▲ 1.8%	▲ 43.4%	12,767	92.72	5,838.2	0.19%	(2.75)	-	(9.3x)	0.3x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	138.25	▲ 0.4%	▼ (7.5%)	2,549	335.95	2,421.1	0.08%	(8.76)	10.00	(15.8x)	0.4x	7.2%	(114.2%)	0.0%	0.0%
Industry Median		**▲ 0.4%**	**▲ 7.6%**			**20,699.3**	**0.67%**			**0.5x**	**0.8x**	**1.9%**	**0.0%**	**0.5%**	**0.4%**

AUTOMOBILES & ACCESSORIES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Car & General (K) Ltd	64.25	▼ (1.9%)	▲ 26.0%	830	155.99	2,576.6	0.08%	(3.33)	0.30	(19.3x)	0.4x	0.5%	(9.0%)	0.0%	0.0%

BANKING	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
ABSA Bank Kenya Plc	28.55	▲ 4.8%	▲ 15.6%	385,792	18.51	155,070.4	5.00%	4.22	2.05	6.8x	1.5x	7.2%	48.6%	22.8%	4.3%
BK Group Plc	46.95	▲ 0.2%	▲ 10.5%	10,930	51.63	42,102.8	1.36%	16.50	7.59	2.8x	0.9x	16.2%	70.2%	32.0%	5.7%
Diamond Trust Bank Kenya Ltd	146.00	-	▲ 27.5%	128,940	361.60	40,821.9	1.32%	33.65	9.00	4.3x	0.4x	6.2%	26.7%	9.3%	1.4%
Equity Group Holdings Plc	69.00	▼ (1.1%)	▲ 3.4%	3,220,807	82.02	260,383.6	8.40%	19.07	5.75	3.6x	0.8x	8.3%	30.2%	23.3%	3.7%
HF Group Plc	9.38	▲ 1.3%	▼ (5.8%)	117,013	11.84	14,007.3	0.45%	0.75	-	12.5x	0.8x	0.0%	0.0%	6.3%	1.4%
I&M Group Plc	48.60	▲ 1.1%	▲ 14.5%	110,131	66.32	84,393.9	2.72%	12.13	3.75	4.0x	0.7x	7.7%	34.8%	18.3%	3.1%
KCB Group Plc	67.75	▼ (1.1%)	▲ 3.0%	869,697	103.15	217,712.1	7.02%	20.80	7.00	3.3x	0.7x	10.3%	33.7%	20.2%	3.1%
NCBA Group	90.75	▲ 1.7%	▲ 8.0%	24,277	77.34	149,512.4	4.82%	14.98	7.10	6.1x	1.2x	7.8%	50.0%	19.4%	3.4%
Stanbic Holdings Plc	257.00	▼ (0.3%)	▲ 30.0%	10,752	202.75	101,597.7	3.28%	34.70	22.35	7.4x	1.3x	8.7%	64.4%	17.1%	2.5%
Standard Chartered Bank Kenya Ltd	330.25	▲ 0.3%	▲ 11.1%	4,684	175.52	124,785.1	4.03%	32.47	31.00	10.2x	1.9x	9.4%	95.5%	18.5%	3.4%
The Co-operative Bank of Kenya Ltd	27.00	▼ (0.6%)	▲ 12.7%	875,384	28.20	158,413.9	5.11%	5.04	2.50	5.4x	1.0x	9.3%	49.6%	17.9%	3.6%
Industry Median		**▲ 0.2%**	**▲ 11.1%**			**1,348,801.0**	**43.51%**			**5.4x**	**0.9x**	**8.3%**	**48.6%**	**18.5%**	**3.4%**

COMMERCIAL AND SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eveready East Africa Ltd	1.21	▲ 1.7%	▼ (11.7%)	380,586	0.30	254.1	0.01%	(0.28)	-	(4.3x)	4.1x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	7.52	▲ 4.7%	▲ 1.6%	1,824	7.74	358.8	0.01%	(2.26)	-	(3.3x)	1.0x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	-0.35	294.5	0.01%	(0.71)	-	(6.6x)	(13.2x)	0.0%	0.0%	0.0%	0.0%
Kenya Airways Ltd	4.91	▲ 3.6%	▲ 39.1%	182,533	-22.68	28,595.8	0.92%	(2.29)	-		(0.2x)	0.0%	0.0%	0.0%	0.0%
Longhorn Publishers Plc	2.91	▲ 0.7%	▲ 0.3%	14,162	0.01	792.8	0.03%	(1.38)	-	(2.1x)	263.0x	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.48	▲ 0.7%	▲ 0.7%	23,129	1.41	2,003.5	0.06%	0.01	-	160.3x	1.1x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	14.50	▲ 0.3%	▲ 25.5%	136,975	2.50	3,007.2	0.10%	(3.00)	-	(4.8x)	5.8x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	15.95	▼ (0.6%)	▲ 11.9%	61,060	2.98	4,439.6	0.14%	0.93	-	17.2x	5.4x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	6.00	▼ (3.8%)	▼ (0.7%)	21,252	-28.82	490.4	0.02%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	16.00	▼ (0.3%)	▲ 8.8%	5,011	62.15	2,914.8	0.09%	4.54	0.35	3.5x	0.3x	2.2%	7.7%	7.3%	4.2%
Uchumi Supermarket Plc	2.04	▲ 2.5%	▲ 98.1%	850,171	-11.73	744.5	0.02%	(5.56)	-	(0.4x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
WPP Scangroup Plc	2.29	▲ 5.5%	▼ (10.2%)	35,971	10.89	989.6	0.03%	(1.17)	-	(2.0x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		**▲ 0.7%**	**▲ 1.2%**			**16,289.8**	**0.53%**			**(2.0x)**	**1.0x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

CONSTRUCTION & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Bamburi Cement Ltd	54.00	-	-	0	69.50	19,599.8	0.63%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	54.50	▼ (1.4%)	-	8,688	25.41	7,758.7	0.25%	1.34	-	40.7x	2.1x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	-	0	0.34	432.8	0.01%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	79.00	▲ 3.9%	▲ 7.5%	1,545	226.97	7,110.0	0.23%	20.26	-	3.9x	0.3x	0.0%	0.0%	8.9%	5.2%
Industry Median		**-**	**-**			**34,901.4**	**1.13%**			**4.3x**	**1.5x**	**0.0%**	**0.0%**	**7.1%**	**2.0%**

ENERGY & PETROLEUM	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
KenGen Co. Plc	9.08	▲ 0.7%	▼ (1.1%)	960,231	42.89	59,878.3	1.93%	1.43	0.90	6.3x	0.2x	9.9%	56.6%	3.3%	1.9%
Kenya Power & Lighting Co Plc	16.05	▲ 1.6%	▲ 18.0%	779,153	60.56	31,321.0	1.01%	12.76	1.10	1.3x	0.3x	6.9%	8.8%	21.1%	6.3%
TotalEnergies Marketing Kenya Plc	39.80	▼ (0.7%)	▲ 3.2%	13,305	51.78	25,055.8	0.81%	4.74	1.92	8.4x	0.8x	4.8%	42.9%	9.2%	4.9%
Umeme Ltd	8.64	▼ (0.2%)	▲ 10.5%	112,515	7.55	14,030.3	0.45%	(8.62)	7.68	(1.0x)	1.1x	88.9%	(161.2%)	0.0%	0.0%
Kenya Pipeline Company Plc	9.08	-	▼ (1.1%)	2,158,366	5.41	165,013.6	5.32%	0.41	0.32	22.0x	1.7x	3.6%	78.8%	7.6%	5.4%
Industry Median		**-**	**▲ 3.2%**			**295,299.0**	**9.53%**			**6.3x**	**0.5x**	**8.4%**	**25.8%**	**6.2%**	**3.4%**

INSURANCE	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Britam Holdings Plc	12.20	▼ (1.2%)	▲ 34.1%	218,242	13.89	30,786.5	0.99%	2.06	-	5.9x	0.9x	0.0%	0.0%	14.8%	2.1%
CIC Insurance Group Ltd	4.53	▼ (1.9%)	▼ (0.9%)	96,381	4.53	11,848.4	0.38%	0.39	0.13	11.6x	1.0x	2.9%	61.9%	8.6%	1.4%
Jubilee Holdings Ltd	369.25	▲ 0.3%	▲ 10.2%	1,788	743.02	26,760.6	0.86%	72.14	13.50	5.1x	0.5x	3.7%	20.8%	9.7%	2.3%
Kenya Re- Insurance Corporation Ltd	3.13	▼ (2.5%)	▲ 4.0%	1,926,599	9.39	17,526.7	0.57%	0.61	0.15	5.1x	0.3x	4.8%	25.4%	6.5%	5.0%
Liberty Kenya Holdings Ltd	9.70	▼ (1.0%)	▼ (4.0%)	6,353	18.82	5,196.4	0.17%	0.12	0.50	80.8x	0.5x	5.2%	58.8%	0.6%	0.1%
Sanlam Kenya Plc	9.56	▼ (2.0%)	▲ 13.0%	21,781	5.98	6,156.6	0.20%	9.95	-	1.0x	1.6x	0.0%	0.0%	166.3%	15.5%
Industry Median		**▼ (1.6%)**				**98,275.3**	**3.17%**			**5.5x**	**0.7x**	**3.3%**	**23.1%**	**9.2%**	**2.2%**

INVESTMENT	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Centum Investment Co Plc	13.60	▼ (0.4%)	▼ (1.8%)	12,199	64.49	9,051.5	0.29%	2.09	0.32	6.5x	0.2x	2.4%	15.6%	3.2%	1.6%
Home Afrika Ltd	1.50	-	▲ 11.9%	776,489	-4.41	607.9	0.02%	0.17	-	8.8x	(0.3x)	0.0%	0.0%	(3.9%)	1.9%
Kurwitu Ventures Ltd	1,500.00	-	-	0	502.63	153.4	0.00%	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	6.76	▼ (5.3%)	▼ (17.8%)	9,799	30.87	270.4	0.01%	0.26	-	25.9x	0.2x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	1.12	-	-	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		**-**	**-**			**10,503.4**	**0.34%**			**6.5x**	**0.2x**	**0.0%**	**0.0%**	**0.0%**	**0.5%**

INVESTMENT SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Nairobi Securities Exchange Plc	19.75	▼ (0.3%)	▼ (2.5%)	30,148	9.44	5,142.7	0.17%	1.04	1.27	19.0x	2.1x	6.4%	122.1%	11.0%	9.8%

MANUFACTURING & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
B.O.C Kenya Plc	121.50	▼ (2.8%)	▼ (4.3%)	835	109.00	2,372.3	0.08%	10.84	2.50	11.2x	1.1x	2.1%	23.1%	9.9%	8.6%
British American Tobacco Kenya Plc	565.00	▼ (0.2%)	▲ 23.1%	6,374	154.85	56,500.0	1.82%	52.46	70.00	10.8x	3.6x	12.4%	133.4%	33.9%	22.2%
Carbacid Investments Plc	29.00	▲ 1.9%	▼ (1.2%)	10,362	20.00	7,390.7	0.24%	3.94	2.00	7.4x	1.5x	6.9%	50.8%	19.7%	16.8%
East African Breweries Plc	251.00	▲ 0.5%	▼ (4.6%)	9,384	46.22	260,604.7	8.41%	12.47	9.50	20.1x	5.4x	3.8%	76.2%	27.0%	9.2%
Flame Tree Group Holdings Ltd	2.58	▲ 7.1%	▲ 88.3%	169,729	6.88	459.4	0.01%	1.13	-	2.3x	0.4x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	115.50	▼ (1.9%)	▲ 63.8%	78	2.18	1,486.3	0.05%	0.13	-	888.5x	52.9x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	27.40	▲ 1.7%	▲ 18.1%	6,420	77.43	2,074.4	0.07%	(5.66)	-	(4.8x)	0.4x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	9.44	▲ 0.4%	▲ 15.7%	1,678		476.7	0.02%								
Industry Median			**▲ 18.1%**			**330,887.8**	**10.67%**			**10.8x**	**1.5x**	**2.1%**	**23.1%**	**16.4%**	**8.6%**

TELECOMMUNICATION	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Safaricom Plc	27.50	▼ (1.4%)	▼ (3.0%)	3,724,323	5.38	1,101,799.3	35.54%	2.11	1.50	13.0x	5.1x	5.5%	86.2%	39.2%	16.6%
Market Average		**▼ (0.3%)**	**▲ 4.4%**							**4.5x**	**1.3x**	**3.3%**		**9.8%**	**4.3%**

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